

Balance of Payment (BoP): Meaning, Objectives **and Importance**

The Balance of Payment (BoP) is a systematic accounting statement that records all economic transactions between the residents of a country and the rest of the world during a specific period, generally one year. It provides a complete record of international economic activities, including the exchange of goods and services, income flows, foreign investments, loans, borrowings, transfers, and changes in foreign exchange reserves.

In simple words, Balance of Payment shows the total foreign currency inflow and outflow of a country through its international economic transactions. It helps understand whether a country receives more foreign currency than it pays or whether it faces a shortage of foreign exchange.

According to Bo Sodersten, *“The balance of payments is merely a way of listing receipts and payments in international transactions for a country.”*

The BoP statement reflects the economic relationship of a country with the rest of the world and helps measure its external economic strength.

2. Objectives of Balance of Payment

2.1 Systematic Recording of International Transactions

The primary objective of Balance of Payment is to maintain a systematic record of all economic transactions between a country and other countries. It records exports and imports of goods and services, foreign investments, international loans, remittances, and other financial transactions.

2.2 Measuring International Economic Relationship

Balance of Payment helps analyse the economic relationship between a country and the rest of the world. It provides information about:

- International trade position
- Foreign investment flows
- External borrowing position
- Foreign exchange availability

It helps understand the level of dependence and interaction of a country with the global economy.

2.3 Identifying Surplus and Deficit Position

Another important objective of BoP is to identify whether a country has a favourable or unfavourable balance.

Balance of Payment Surplus

A surplus occurs when:

Foreign currency receipts > Foreign currency payments

It indicates strong foreign exchange earnings and improves the country's external position.

Balance of Payment Deficit

A deficit occurs when:

Foreign currency payments > Foreign currency receipts

It indicates pressure on foreign exchange reserves and may require corrective measures.

2.4 Supporting Economic Policy Formulation

Governments use Balance of Payment information to prepare effective economic policies related to:

- International trade
- Foreign investment
- Fiscal policy
- Monetary policy
- Exchange rate management

BoP data helps policymakers take steps to increase exports, control unnecessary imports, and maintain economic stability.

2.5 Maintaining Exchange Rate Stability

Balance of Payment helps understand the demand and supply of foreign currency, which directly affects exchange rates. A continuous surplus may strengthen the domestic currency, while a persistent deficit may create depreciation pressure on the currency.

3. Importance of Balance of Payment

3.1 Indicator of Economic and Financial Position

Balance of Payment acts as an indicator of a country's overall economic and financial condition. It provides information about:

- Trade performance
- Foreign investment position
- External debt situation
- Foreign exchange reserves

A stable BoP reflects a strong external economic position.

3.2 Helps in Exchange Rate Analysis

BoP helps governments and central banks analyse currency movements.

A favourable BoP increases foreign currency inflows, which may lead to currency appreciation. A deficit BoP increases demand for foreign currency and may result in currency depreciation.

3.3 Helps in Government Decision Making

The government uses BoP information to identify external economic problems such as:

- Increasing imports
- Declining exports
- Foreign capital outflows
- Foreign exchange shortage

Based on this information, corrective measures can be implemented.

3.4 Management of Foreign Exchange Resources

Balance of Payment helps a country manage its foreign exchange resources effectively. It provides information about foreign currency availability and helps the central bank decide when to use or increase foreign exchange reserves.

3.5 Encourages Foreign Investment

A stable Balance of Payment position creates confidence among foreign investors. It indicates economic stability, better repayment capacity, and a favourable investment environment.

3.6 Supports Economic Planning and Development

BoP information helps governments plan future economic development by identifying sectors requiring:

- Foreign investment
- Advanced technology
- International financial support

It helps in designing strategies for sustainable economic growth.

Current Account Transactions in Balance of Payment

The Current Account is a major component of the Balance of Payment (BoP). It records all transactions related to the exchange of goods, services, income, and current transfers between the residents of a country and the rest of the world. Unlike the Capital Account, it does not involve the buying and selling of financial assets and mainly represents current economic activities.

Formula of Current Account Balance

Current Account Balance = Trade Balance + Net Primary Income + Net Secondary Income

Components of Current Account

The Current Account consists of four major components:

1. **Trade in Goods (Visible Trade)**
2. **Trade in Services (Invisible Trade)**
3. **Primary Income**
4. **Secondary Income / Current Transfers**

1. Trade in Goods (Visible Trade Account)

Trade in goods refers to the export and import of **physical products** between countries. These transactions are called **visible items** because goods can be seen, measured, and physically transported.

Exports of Goods (Credit Entry)

When a country sells goods to another country, foreign currency enters the economy. These transactions are recorded as a **Credit (+)** entry in BoP.

Examples include:

- Machinery
- Pharmaceuticals

- Textiles
- Agricultural products
- Automobiles
- Electronics

Example:

If India exports medicines worth \$500 million, the amount received from exports is recorded as:

Credit (+) → Export earnings received

Imports of Goods (Debit Entry)

When a country purchases goods from another country, foreign currency flows out of the economy. These transactions are recorded as a **Debit (-)** entry.

Examples include:

- Crude oil
- Gold
- Machinery
- Electronic goods
- Industrial raw materials

Example:

If India imports crude oil worth \$1 billion:

Debit (-) → Payment made to foreign country

Trade Balance

Trade Balance represents the difference between exports and imports of goods.

Formula

Trade Balance = Exports of Goods – Imports of Goods

Trade Surplus

Occurs when:

Exports > Imports

A trade surplus increases foreign currency inflow and improves the current account position.

Trade Deficit

Occurs when:

Imports > Exports

A trade deficit increases foreign currency outflow and creates pressure on the Balance of Payment.

Example:

Countries importing large quantities of crude oil often experience trade deficits.

2. Trade in Services (Invisible Trade Account)

Services are intangible economic activities exchanged between countries. They are called invisible items because they cannot be physically touched like goods.

The Current Account includes services such as:

- Tourism
- Transportation
- Banking
- Insurance
- Information Technology
- Consultancy
- Telecommunication
- Engineering services

Examples of Service Exports

1. Information Technology Services

When an Indian IT company provides software services to a US company, payment received from the US creates foreign currency inflow.

Recorded as:

Credit (+)

2. Tourism Services

Foreign tourists spending money on hotels, restaurants, and travel services in India generate service exports.

Effect:

- Foreign exchange earnings increase
- Recorded as Credit (+)

3. Transportation Services

Transportation services include:

- Shipping
- Airlines
- Logistics services

Example:

An Indian shipping company earning revenue by transporting foreign goods receives foreign currency.

3. Primary Income Account

Primary Income records income earned from the use of factors of production between countries.

It includes:

- Labour income
- Investment income

A. Employee Compensation

It includes wages and salaries received by residents working in foreign countries.

Example:

An Indian professional working abroad receives salary. If the income is transferred back to India, it becomes an income receipt.

B. Investment Income

Investment income includes:

1. Interest

Income received from foreign investments such as bonds.

Example:

An Indian company receives interest from foreign bonds.

2. Dividends

Income received from ownership of foreign shares.

Example:

An Indian investor receives dividends from a foreign company.

3. Profits

Income earned by companies operating in foreign countries.

Example:

An Indian company operating abroad earns profits.

4. Secondary Income / Current Transfers

Secondary income includes transfers where money or resources move from one country to another **without receiving any direct return.**

These are also called:

Unilateral Transfers

Types of Current Transfers

1. Workers' Remittances

Money sent by citizens working abroad to their home country.

Example:

An Indian worker in UAE sends money to family in India.

Effect:

Foreign exchange enters India.

Recorded as:

Credit (+)

2. Foreign Aid and Grants

Financial assistance provided by one country to another.

Example:

A country provides financial support after a natural disaster.

3. Government Transfers

Includes:

- International grants
- Donations
- Assistance payments

Current Account Credit and Debit Summary

Transaction	BoP Entry
Export of goods	Credit (+)
Import of goods	Debit (-)
Export of services	Credit (+)
Import of services	Debit (-)
Income received from abroad	Credit (+)
Income paid to foreigners	Debit (-)
Remittances received	Credit (+)
Remittances sent abroad	Debit (-)

Current Account Surplus and Deficit

Current Account Surplus

Occurs when:

Receipts from exports, services, income and transfers > Payments

Effects:

- Foreign exchange reserves increase
- Currency may strengthen
- Country becomes a net lender

Current Account Deficit (CAD)

Occurs when:

Payments > Receipts

Causes:

- High imports
- Low exports
- Large foreign income payments

Effects:

- Pressure on exchange rate
- Dependence on foreign capital inflows

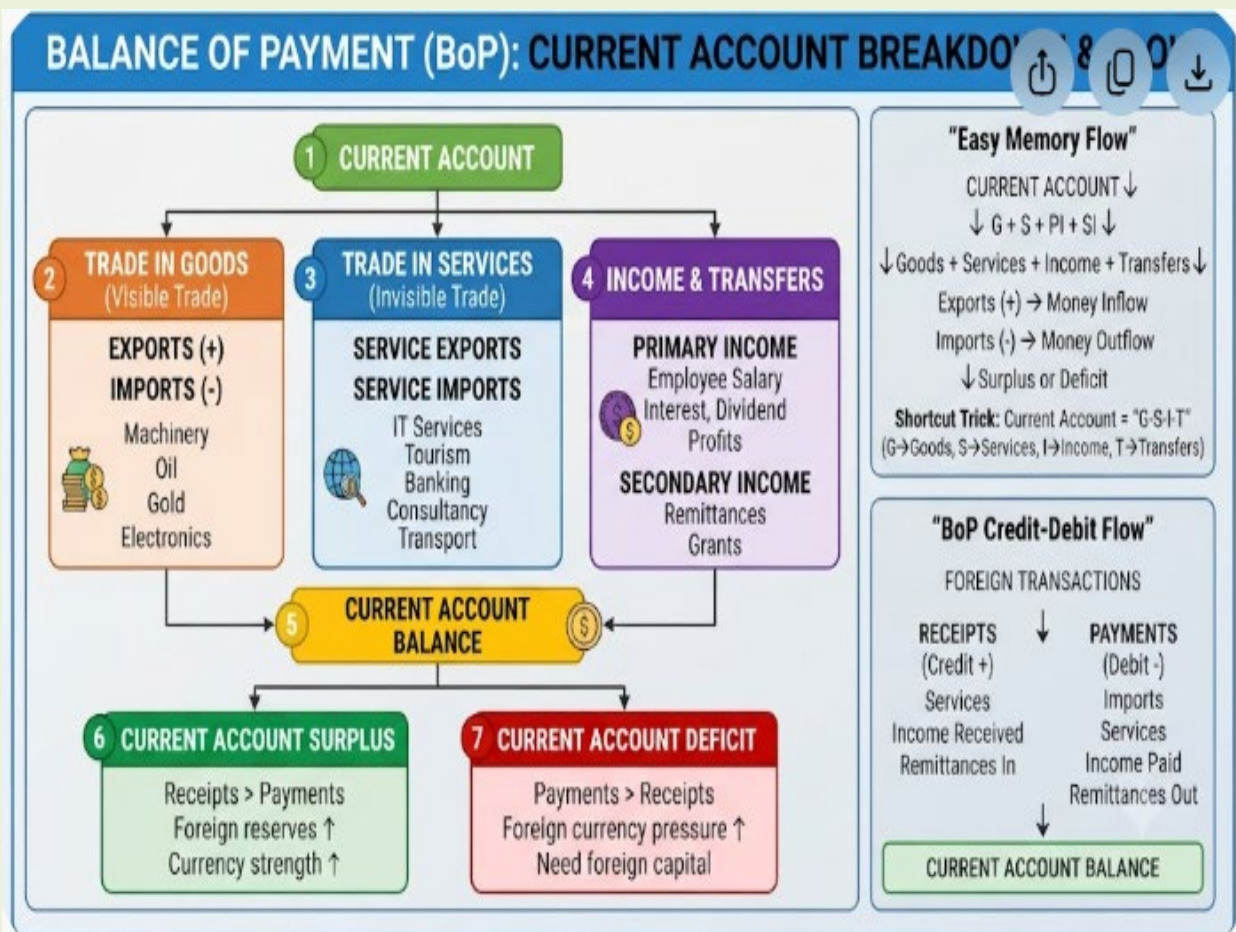


TABLE 20.2. Balance of Payments Account of India.

- I. Current Account
 - 1. Exports
 - 2. Imports
 - 3. Trade Balance
 - 4. Invisibles (net)
 - A. Services
 - B. Income
 - C. Transfers
 - 5. Goods and Services Balance
 - 6. Current Account Balance
 - II. Capital Account
 - (i) External Assistance (net)
 - (ii) External commercial Borrowings (net)
 - (iii) Short Term Debt
 - (iv) Banking Capital (net)
 - (v) Foreign Investment (net) of which
 - A. FDI (net)
 - B. Portfolio (net)
 - (vi) Other Flows (net)
 - III. Capital Account Balance
 - Errors and Omissions
 - IV. Overall Balance.
 - V. Reserve [Increase(-) / Decrease (+)]
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Capital Account Transactions in Balance of Payment (BoP)

The **Capital Account** is an important component of the Balance of Payment (BoP) that records all capital transactions between the residents of a country and the rest of the world. It mainly records transactions related to the movement of financial assets and liabilities between countries. Unlike the Current Account, which deals with the exchange of goods, services, income, and transfers, the Capital Account focuses on the movement of investments, ownership of assets, and international borrowing and lending activities.

The Capital Account helps in understanding the financial relationship of a country with the rest of the world. It shows the amount of foreign capital entering a country, domestic capital moving outside the country, changes in foreign ownership of assets, and international borrowing and lending activities.

Components of Capital Account

The Capital Account consists of six major components:

1. Foreign Direct Investment (FDI)
2. Foreign Portfolio Investment (FPI)
3. External Borrowings and Loans
4. Banking Capital
5. Foreign Exchange Reserves
6. Capital Transfers

1. Foreign Direct Investment (FDI)

Foreign Direct Investment refers to investment made by a foreign company or individual in a business located in another country with the objective of establishing long-term ownership and control. FDI creates a direct relationship between the investor and the foreign economy.

For example, when a US automobile company establishes a manufacturing plant in India or a foreign company acquires a major stake in an Indian company, it is considered Foreign Direct Investment. When FDI enters a country, foreign currency flows into the economy and it is recorded as a **Credit (+)** entry in the Balance of Payment. For example, if a foreign company invests \$500 million in India, it increases capital inflow.

However, when domestic companies invest in foreign countries, foreign currency leaves the country and it is recorded as a **Debit (-)** entry.

FDI is important because it:

- Increases availability of capital
- Creates employment opportunities
- Brings advanced technology
- Improves production capacity
- Supports economic growth

2. Foreign Portfolio Investment (FPI)

Foreign Portfolio Investment refers to investment made by foreign investors in the financial markets of another country without obtaining direct ownership or control over businesses.

FPI mainly includes investment in:

- Shares
- Bonds
- Securities

For example, when foreign investors purchase shares of Indian companies or invest in Indian government bonds, it is considered Foreign Portfolio Investment.

When foreign investors purchase Indian financial assets, foreign currency enters India and is recorded as a **Credit (+)** entry.

When foreign investors sell their investments and withdraw money from India, foreign currency leaves the country and it is recorded as a **Debit (-)** entry.

Difference between FDI and FPI

FDI	FPI
Direct ownership in business	Investment in financial assets
Provides control over business decisions	No direct control
Generally long-term investment	Short/medium-term investment
Example: Setting up factory	Example: Buying company shares

3. External Borrowings and Loans

External borrowing refers to loans taken by a country's government, businesses, or financial institutions from foreign sources.

These sources include:

- Foreign governments
- International institutions
- Foreign banks
- Global financial markets

Examples include government loans from international organisations such as the World Bank or companies raising foreign currency loans.

When a country receives foreign loans, foreign currency enters the economy and it is recorded as a **Credit (+)** entry.

When the country repays these foreign loans, foreign currency leaves the economy and it is recorded as a **Debit (-)** entry.

4. Banking Capital

Banking capital refers to international financial transactions carried out by banks.

It includes:

- Foreign deposits
- International lending
- Borrowing activities of banks
- Foreign currency transactions

For example, when an Indian bank receives deposits from foreign customers, foreign exchange inflow increases.

5. Foreign Exchange Reserves

Foreign exchange reserves are assets maintained by the central bank of a country in the form of foreign currencies and other international assets.

They include:

- Foreign currencies
- Gold reserves

- Special Drawing Rights (SDRs)
- Reserve position with IMF

Foreign exchange reserves play an important role in maintaining economic stability.

They are used to:

- Finance Balance of Payment deficits
- Stabilize exchange rates
- Maintain confidence in the external sector

For example, if India faces a Balance of Payment deficit, the Reserve Bank of India can use foreign exchange reserves to meet international payment obligations.

6. Capital Transfers

Capital transfers are transactions that result in changes in ownership of assets or changes in financial resources between residents and non-residents.

Unlike current transfers such as remittances, capital transfers affect the wealth and capital position of a country.

Major types of capital transfers include:

1. Debt forgiveness
2. Transfer of ownership of fixed assets
3. Investment grants

A. Debt Forgiveness

Debt forgiveness occurs when a lender cancels or reduces the debt obligation of a borrower. In simple words, it means the borrower is no longer required to repay the cancelled portion of the loan.

For example, if Country A borrows \$500 million from Country B and Country B cancels \$300 million of the debt, the liability of Country A decreases.

Debt forgiveness helps the borrowing country by:

- Reducing external debt burden
- Improving financial position
- Lowering future repayment obligations

B. Transfer of Ownership of Fixed Assets

This occurs when ownership of a fixed asset is transferred from one country to another without receiving normal payment in return.

Fixed assets include:

- Land
- Buildings
- Infrastructure
- Machinery
- Equipment

For example, if one country constructs a hospital in another country and transfers ownership without charging any amount, it is treated as a capital transfer.

Benefits include:

- Increase in national assets
- Improvement in infrastructure

C. Investment Grants

Investment grants are financial assistance provided by countries or international organisations to help another country develop fixed assets.

These funds are generally used for:

- Infrastructure development
- Construction projects
- Industrial development

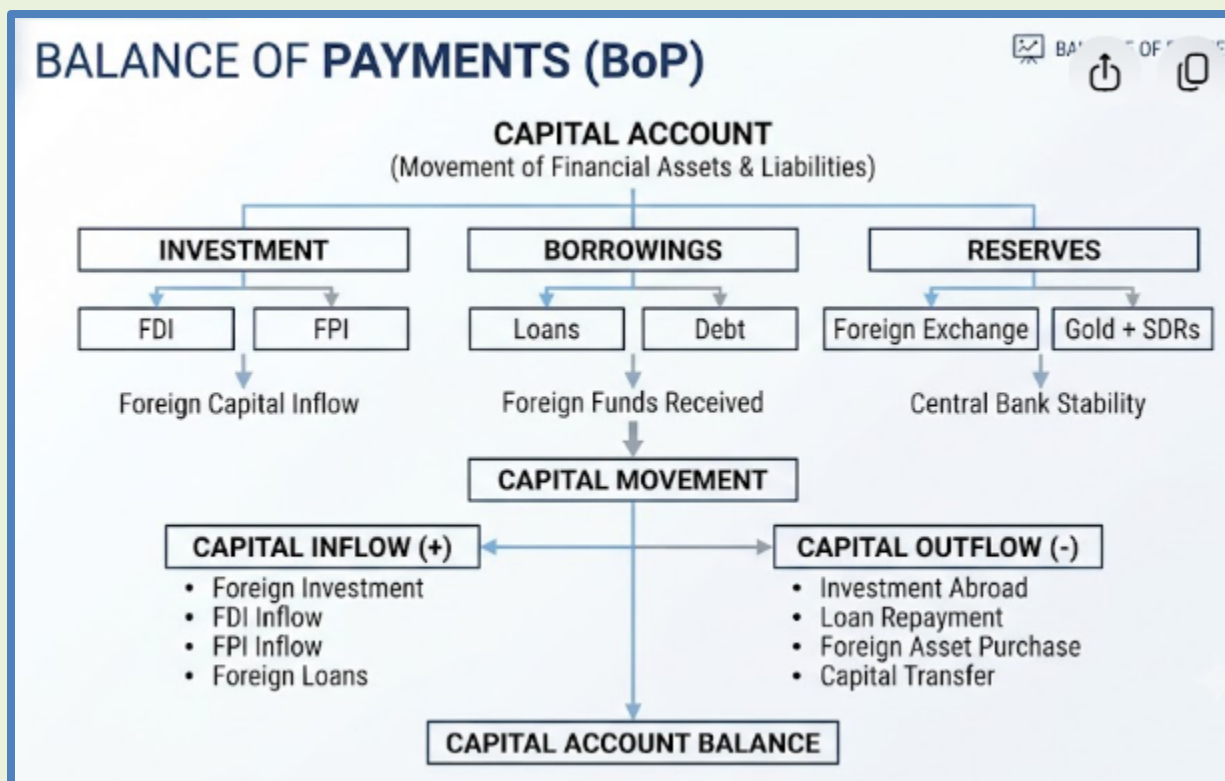
Examples include grants for:

- Roads
- Bridges
- Power plants
- Renewable energy projects

Investment grants increase capital resources and support economic development.

Capital Account Credit and Debit Summary

Transaction	BoP Entry
Foreign investment received	Credit (+)
FDI inflow	Credit (+)
FPI inflow	Credit (+)
Foreign loans received	Credit (+)
Investment abroad	Debit (-)
Loan repayment	Debit (-)
Purchase of foreign assets	Debit (-)



• **Difference Between Accommodating and Transactional Transactions in Balance of Payment (BoP)**

In Balance of Payment, international transactions are broadly classified into:

1. **Autonomous (Accommodating) Transactions**
2. **Compensatory / Financing (Accommodating) Transactions**

1. Transactional (Autonomous) Transactions

Meaning

Transactional or **autonomous transactions** are international economic transactions that take place **independently of the Balance of Payment position**.

These transactions are motivated by:

- Profit
- Trade requirements
- Investment decisions
- Economic objectives

They are not undertaken to correct a BoP deficit or surplus.

Examples

1. Export and Import of Goods

A company exports products to earn profit.

Example:

An Indian pharmaceutical company exports medicines to the USA.

→ Export receipt enters India.

2. Foreign Investment

A foreign company invests in India because it expects business growth.

Example:

A Japanese automobile company establishes a manufacturing plant in India.

3. International Borrowing for Development

A company takes a foreign loan to expand production.

The purpose is business growth, not correcting BoP imbalance.

Characteristics of Transactional Transactions

- Occur due to normal economic activities
- Independent of BoP imbalance
- Usually initiated by individuals, businesses, and investors
- Create the original surplus or deficit in BoP

2. Accommodating Transactions (Financing Transactions)

Meaning

Accommodating transactions are transactions undertaken **to correct or finance the imbalance created by autonomous transactions.**

They are also called:

- Compensatory transactions
- Official reserve transactions

Their purpose is to restore equilibrium in the Balance of Payment.

Examples

1. Use of Foreign Exchange Reserves

If a country faces a BoP deficit, the central bank uses foreign currency reserves to make international payments. Example: RBI sells dollars from reserves to support the rupee.

2. External Borrowing

A country borrows money from international institutions to finance a BoP deficit. Example: Government borrowing from IMF or World Bank.

3. Changes in Foreign Exchange Reserves

Central banks increase or decrease reserves to balance international payments.

Characteristics of Accommodating Transactions

- Undertaken after BoP imbalance occurs
- Aim to correct deficit or surplus
- Controlled mainly by government or central bank
- Help maintain external stability

• Difference Between Transactional and Accommodating Transactions

Basis	Transactional (Autonomous)	Accommodating (Financing)
Meaning	Normal international transactions	Transactions to correct BoP imbalance
Purpose	Profit, trade, investment	Finance deficit or absorb surplus
Relationship with BoP	Creates surplus or deficit	Corrects surplus or deficit
Decision maker	Individuals, firms, investors	Government and central bank
Nature	Independent	Dependent on BoP position
Examples	Export, import, FDI, FPI	Forex reserves, IMF loans, external borrowing

Difference Between Balance of Trade and Balance of Payment

Basis	Balance of Trade (BoT)	Balance of Payment (BoP)
Meaning	Difference between exports and imports of goods	Complete record of all international economic transactions
Scope	Narrow concept	Wider concept
Coverage	Includes only visible goods	Includes goods, services, income, transfers and capital flows
Components	Only exports and imports of goods	Current Account, Capital Account and Financial Account
Nature	A part of BoP	A complete statement of external transactions
Items Included	Physical goods only	Goods, services, investments, loans, remittances etc.
Example	Export of medicines and import of crude oil	Export, FDI, foreign loans, remittances, investments
Measurement	Shows trade position	Shows overall external economic position
Balance	May show surplus or deficit	Always balances in accounting terms
Importance	Helps analyse trade performance	Helps analyse overall economic stability

Types of Disequilibrium of Balance of Payment

Broadly speaking, there are five different types of disequilibrium in the BOP:

- 1. Cyclical Disequilibrium.**
- 2. Secular Disequilibrium.**
- 3. Structural Disequilibrium.**
- 4. Short run Disequilibrium.**
- 5. Fundamental Disequilibrium.**

1. Cyclical Disequilibrium:

Cyclical Disequilibrium in the BOP arises due to the influences of cyclical fluctuations. Cyclical Disequilibrium in the BOP occur as a result of business cycle/Trade cycle follow different paths and patterns in different countries.

2. Secular Disequilibrium:

Secular disequilibrium in the balance of payments is a long-term phenomenon, caused by persistent, deep-rooted dynamic changes that slowly take place in the economy over a long period of time. It may be caused by changes in several dynamic forces or factors such as capital formation, population growth, technological changes etc.

3. Structural Disequilibrium:

Structural disequilibrium arises from structural changes occurring in few sectors of the economy at home or abroad which may alter the demand for supply conditions for exports or imports or both.

A change in foreign demand for exports can arise from a change in technology, the invention of the cheaper substitute. Structural disequilibrium is caused by changes in technology, tastes and attitude towards foreign investment. Political disturbances, strikes, lockouts, etc., which affect the supply of exports, also cause structural disequilibrium.

4. Short run Disequilibrium:

Disequilibrium caused on a temporary basis for a short period, say one year is called short run disequilibrium. Such disequilibrium does not pose a serious threat as it can be overcome within a short run.

Such an disequilibrium may be caused due to international borrowing and lending. When a country goes for borrowing or lending it leads to short run disequilibrium. Such disequilibrium is justified as they do not pose a serious threat.

5. Fundamental or Long Run Disequilibrium:

The term fundamental disequilibrium has been originally used by the I.M.F., to indicate a persistent and long-term disequilibrium in a country's balance of payments.

Fundamental disequilibrium is generally caused by dynamic factors and particularly leads to chronic deficit in the balance.

Causes of Disequilibrium in Balance of Payment

There are several causes of disequilibrium in the Balance of Payment. Some of the important causes are as follows:

1. Trade Cycles

Trade cycles are one of the important causes of disequilibrium in the Balance of Payment. During different phases of business cycles such as boom and recession, the level of production, income, employment and trade changes, which affects exports and imports of a country.

A recession in foreign countries may reduce demand for exports, while economic expansion may increase import demand. These changes create imbalance in the Balance of Payment.

2. Huge Development and Investment Programmes

Developing countries often undertake large development programmes for economic growth. These programmes require heavy imports of machinery, technology, equipment and raw materials. As imports increase faster than exports, it creates pressure on the Balance of Payment and may lead to deficit.

3. Changes in Export Demand

Changes in foreign demand for a country's exports can create disequilibrium in the Balance of Payment.

Demand for exports may decline due to:

- Changes in technology
- Availability of substitutes
- Changes in consumer preferences

A fall in export demand reduces foreign exchange earnings and creates imbalance.

4. Population Growth

Rapid growth in population increases domestic consumption and demand for goods and services. When domestic production is insufficient, countries depend on imports to meet demand. Increased imports create pressure on foreign exchange resources and may lead to Balance of Payment deficit.

5. Huge External Borrowings

External borrowing may also create disequilibrium in Balance of Payment. Although foreign loans provide funds initially, repayment of loans and interest payments create future outflows of foreign exchange. Heavy external debt obligations may therefore create imbalance.

6. Inflation

Inflation increases the prices of domestic goods and services. When domestic prices become higher compared to foreign countries:

- **Exports become expensive and decline**
- **Imports become cheaper and increase**

This results in increased foreign currency outflow and creates Balance of Payment deficit.

7. Demonstration Effect

The demonstration effect refers to the tendency of people in developing countries to imitate the consumption patterns of developed countries. People demand more imported luxury goods and foreign products, increasing imports. As imports rise without a corresponding increase in exports, Balance of Payment disequilibrium occurs.

8. Reciprocal Demand

Differences in demand between countries for each other's goods and services may create imbalance.

If the demand for a country's exports decreases while its demand for imports remains high, it may result in Balance of Payment disequilibrium.

Measures to Correct Disequilibrium in Balance of Payment

Various measures are adopted by governments to correct Balance of Payment disequilibrium.

1. Monetary Policy

Monetary policy can be used to correct Balance of Payment deficit.

The central bank may control:

- **Money supply**
- **Credit availability**
- **Interest rates**

By reducing domestic demand, imports can be controlled and Balance of Payment position can be improved.

2. Fiscal Policy

Fiscal policy involves the use of government revenue and expenditure to correct disequilibrium.

Government may use:

- **Taxation policy**
- **Public expenditure policy**

to control demand and reduce import pressure.

3. Exchange Rate Depreciation

Depreciation means a fall in the value of domestic currency in relation to foreign currencies.

It makes:

- **Exports cheaper for foreign buyers**
- **Imports expensive for domestic consumers**

As exports increase and imports decrease, Balance of Payment position improves.

4. Devaluation

Devaluation refers to the official reduction in the value of a country's currency by the government.

It encourages exports and discourages imports by making:

- **Domestic goods cheaper internationally**
- **Foreign goods more expensive domestically**

5. Deflation

Deflation refers to reducing the money supply and lowering the general price level. Lower prices make exports more competitive and reduce imports, helping improve Balance of Payment.

6. Exchange Control

Exchange control refers to government regulation of foreign exchange transactions.

Under exchange control:

- **Exporters may be required to surrender foreign currency earnings**
- **Importers may receive limited foreign currency**

This helps control foreign exchange outflow.

7. Export Promotion

Export promotion measures encourage production and sale of goods in international markets.

Government may provide:

- **Export subsidies**
- **Tax benefits**
- **Financial incentives**

Increasing exports improves foreign exchange earnings.

8. Import Substitution

Import substitution means producing domestically those goods which were previously imported.

It helps:

- **Reduce dependence on imports**
- **Save foreign exchange**
- **Encourage domestic industries**

9. Import Control

Import control refers to restrictions imposed on imports through:

- **Tariffs**
- **Quotas**
- **Import regulations**

A quota limits the quantity of goods that can be imported into the country.

Import control reduces foreign exchange outflow and helps correct Balance of Payment deficit.

Is Balance of Payment Always in Equilibrium?

From an accounting point of view, Balance of Payment is always in equilibrium because every international transaction has two sides:

Credit Entry = Debit Entry

Therefore:

Total Receipts = Total Payments

However, in economic terms, a country may experience:

- **Balance of Payment Surplus**
- **Balance of Payment Deficit**

depending on the actual movement of goods, services, income and capital flows.

Question 1: Calculate Balance of Trade (BoT)

The following information is given for Country A:

- Export of goods = ₹800 crore
- Import of goods = ₹1,200 crore

Calculate the Balance of Trade and identify whether it is surplus or deficit.

Solution

Formula:

Balance of Trade = Exports – Imports

= ₹800 crore – ₹1,200 crore

= – ₹400 crore

Answer:

Balance of Trade = ₹400 crore Deficit

Reason:

Imports are greater than exports.

Question 2: Calculate Current Account Balance

The following transactions are recorded for India:

Transaction	Amount (₹ crore)
Export of goods	1,000
Import of goods	1,500
Export of services	800
Import of services	300
Income received from abroad	200
Income paid to foreigners	150
Remittances received	400
Remittances paid	50

Calculate the Current Account Balance.

Solution

Step 1: Trade Balance

Exports of goods – Imports of goods

= 1,000 – 1,500

= –500 crore

Step 2: Service Balance

Service exports – Service imports

= 800 – 300

= +500 crore

Step 3: Primary Income Balance

Income received – Income paid

= 200 – 150

= +50 crore

Step 4: Secondary Income Balance

Remittances received – Remittances paid

= 400 – 50

= +350 crore

Current Account Balance:

= Trade Balance + Service Balance + Primary Income + Secondary Income

= –500 + 500 + 50 + 350

= ₹400 crore Surplus

Answer:

Current Account shows a surplus of ₹400 crore.

Question 4: Calculate Capital Account Balance

Given:

Capital Transaction	Amount
FDI inflow	₹600 crore
FPI inflow	₹300 crore
Foreign loan received	₹400 crore
Investment abroad	₹200 crore
Loan repayment	₹150 crore

Calculate Capital Account Balance.

Solution

Capital Inflows:

FDI = 600

FPI = 300

Foreign loan = 400

Total inflow:

= 600 + 300 + 400

= ₹1,300 crore

Capital Outflows:

Investment abroad = 200

Loan repayment = 150

Total outflow:

= 200 + 150

= ₹350 crore

Capital Account Balance:

= Inflow – Outflow

= 1,300 – 350

= ₹950 crore Surplus

Question 1: Calculate Current Account, Capital Account and Overall Balance of Payment

The following information is available for Country A during the year:

Current Account Transactions

Particulars	Amount (₹ Crore)
Export of Goods	4,000
Import of Goods	5,500
Export of Services	2,500
Import of Services	1,000
Income Received from Abroad	600
Income Paid to Foreigners	300
Remittances Received	900
Remittances Paid	200

Capital Account Transactions

Particulars	Amount (₹ Crore)
Foreign Direct Investment (FDI) Inflow	1,500
Foreign Portfolio Investment (FPI) Inflow	800
Foreign Loans Received	1,000
Investment Abroad	700

Particulars	Amount (₹ Crore)
Loan Repayment	400
Purchase of Foreign Assets	300

Calculate:

1. Current Account Balance
2. Capital Account Balance
3. Overall Balance of Payment Position

Solution

Step 1: Calculate Current Account Balance

A. Trade Balance

Formula:

Trade Balance = Export of Goods – Import of Goods

= 4,000 – 5,500

= –1,500 Crore

(Trade Deficit)

B. Service Balance

Formula:

Service Balance = Export of Services – Import of Services

= 2,500 – 1,000

= +1,500 Crore

(Service Surplus)

C. Primary Income Balance

Formula:

Income Received – Income Paid

$$= 600 - 300$$

$$= +300 \text{ Crore}$$

D. Secondary Income Balance

Formula:

Remittances Received – Remittances Paid

$$= 900 - 200$$

$$= +700 \text{ Crore}$$

Current Account Balance

Formula:

Current Account = Trade Balance + Service Balance + Primary Income + Secondary Income

$$= (-1,500) + 1,500 + 300 + 700$$

$$= ₹1,000 \text{ Crore Surplus}$$

Current Account Result

 **Current Account Surplus = ₹1,000 Crore**

Step 2: Calculate Capital Account Balance

A. Capital Inflows

FDI Inflow = ₹1,500 Crore

FPI Inflow = ₹800 Crore

Foreign Loans = ₹1,000 Crore

Total Capital Inflow:

$$= 1,500 + 800 + 1,000$$

= ₹3,300 Crore

B. Capital Outflows

Investment Abroad = ₹700 Crore

Loan Repayment = ₹400 Crore

Purchase of Foreign Assets = ₹300 Crore

Total Capital Outflow:

= 700 + 400 + 300

= ₹1,400 Crore

Capital Account Balance

Formula:

Capital Account = Capital Inflow – Capital Outflow

= 3,300 – 1,400

= ₹1,900 Crore Surplus

Capital Account Result

 **Capital Account Surplus = ₹1,900 Crore**

Step 3: Calculate Overall Balance of Payment

Formula:

BoP = Current Account Balance + Capital Account Balance

= 1,000 + 1,900

= ₹2,900 Crore

Practical Question: Preparation of Balance of Payment Statement (Balance Sheet Format)

Question

Prepare the Balance of Payment Statement of Country A from the following information. Show that the total Credit side is equal to total Debit side.

International Transactions During the Year

Transactions	Amount (₹ Crore)
Export of Goods	4,000
Import of Goods	5,500
Export of Services	2,500
Import of Services	1,000
Income Received from Abroad	600
Income Paid to Foreigners	300
Remittances Received	900
Remittances Paid	200
Foreign Direct Investment (FDI) Received	1,500
Foreign Portfolio Investment (FPI) Received	800
Foreign Loans Received	1,000
Investment Abroad	700
Loan Repayment	400
Purchase of Foreign Assets	300

Prepare:

- 1. Current Account Balance**
- 2. Capital Account Balance**
- 3. Overall Balance of Payment Statement**

Solution

Balance of Payment Statement of Country A

Credit (Receipts)	Amount (₹ Crore)	Debit (Payments)	Amount (₹ Crore)
Current Account		Current Account	
Export of Goods	4,000	Import of Goods	5,500
Export of Services	2,500	Import of Services	1,000
Income Received from Abroad	600	Income Paid to Foreigners	300
Remittances Received	900	Remittances Paid	200
Total Current Account Credit	8,000	Total Current Account Debit	7,000
Capital Account		Capital Account	
Foreign Direct Investment (FDI)	1,500	Investment Abroad	700
Foreign Portfolio Investment (FPI)	800	Loan Repayment	400
Foreign Loans Received	1,000	Purchase of Foreign Assets	300
Total Capital Account Credit	3,300	Total Capital Account Debit	1,400
Balance (Current Account Surplus)	-	Balance Transferred	1,000
Balance (Capital Account Surplus)	-	Balance Transferred	1,900
Total Credit	11,300	Total Debit	11,300